

DFH pitch deck

PITCH — DFH — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order; we are waiting on one document (the preferred stock's terms sheet) and one price, and we say exactly which below.

What we believe

Dream Finders Homes is a Jacksonville homebuilder trading at \$14.69 against a book value of \$15.75 a share — about 93 cents on the dollar of accounting net worth, and 1.27x if you strip out goodwill. It is down 53% from its 52-week high and up 20% off its low. On August 7 it agreed to buy Beazer Homes for roughly \$2.2 billion including debt (about \$916 million for the equity), all cash, with **no financing condition** — meaning DFH is contractually obligated to close whether or not the money is there on favorable terms. That deal would make it the sixth-largest homebuilder in the country.

Three things are simultaneously true, and the market is treating them as one thing:

1. **The equity is cheap on book, and the deal likely makes it cheaper on book.** DFH is paying ~\$916 million in cash for a company whose last reported shareholders' equity was \$1.147 billion, and issuing no new shares. Buying \$1.15 of book for \$0.92, with no share count increase, mechanically pushes book value per share *up* — plausibly to \$16–18 — either through a one-time accounting gain or through a lower carrying basis on the assets. No new goodwill is created.
2. **The leverage step-up is real and large.** Net debt to net capital goes from roughly 50% today to somewhere in the low-to-mid 60s after the deal — not the 70% one of our own analysts calculated, but not a small move either, on a builder whose average selling price is down 8.9% and whose gross margin is down 2.3 percentage points.
3. **There is a security we have not been allowed to read.** Kennedy Lewis, a private credit manager, is providing \$450 million of convertible preferred stock at the merger (part of roughly \$675 million of preferred in the pro-forma structure) *and* an \$800 million facility to finance DFH's land. The \$450 million is a third of the entire stock market value of the company. **Its conversion price, its seniority, its payment-in-kind toggle, and its change-of-control rights have never been published.**

Our belief is therefore narrow and, we think, defensible: **the price is interesting, the accounting is likely better than the headline, and we will not buy a common stock when a claim equal to a third of the market capitalization sits in front of it on terms nobody outside the room has seen.** That is not a judgment that the stock is expensive. It is a refusal to underwrite a blank.

Layered on top: on June 9, 2026, DFH reincorporated from Delaware to Texas. On August 20 — eleven weeks later, and thirteen days after committing \$2.2 billion — the board amended the equity compensation plan to create a \$400,000 carve-out for a Chairman/Co-Chairman and to allow “greater

flexibility in the method by which the price of the Company's Class A Common Stock is used to determine value," and got it approved by **written consent of the majority holder rather than a shareholder meeting**, with a notice-only information statement to follow ([8-K, August 21, 2026](#)). The founder controls 57.7 million of 90.9 million shares — 63.5% of the vote — through a second class of stock. We do not claim anything improper occurred. We claim the sequence removes our ability to find out if it does, and we price that.

What the market believes

The market believes this is a small, over-levered builder buying a bigger, worse builder into a housing downturn, and it has marked the equity accordingly: 53% off the high, and roughly 22–24% of the tradable share count sold short (per commercial data vendors, not a primary filing — we flag that below).

More specifically, the sell side believes DFH earns about \$1.36 a share this year, down from \$1.58 before recent cuts. The company, for its part, has told investors the deal is “double-digit EPS accretive in year one.”

We think **both** of those numbers are built on the same missing pieces. Consensus cannot yet include bridge loan interest, the preferred dividend, or the land facility's fees, because none of those costs are public. And the company's accretion math is debt-funded arithmetic that, as far as we can tell, does not deduct the preferred dividend and will be reported into a quarter where purchase accounting requires marking Beazer's inventory of homes up to fair value — which then flows through cost of goods sold as those homes close, depressing reported gross margin for a year or more without any cash changing hands.

So the market's belief is not “wrong” so much as **incomplete in a knowable direction**: reported earnings are likely to look worse than cash economics for four to six quarters, and the balance sheet is likely to look better than the leverage headline. Those two errors point opposite ways.

Why we might have edge

- **A named, mechanical reason reported earnings will disappoint that has nothing to do with demand.** The inventory step-up is a required accounting outcome of an all-cash purchase of an inventory-heavy company. If we know reported gross margin compresses for non-cash reasons and the market reads the same print as “the housing downturn is worse than we thought,” that is a gap with a mechanism — which is the only kind we can grade after the fact.
- **The book-accretion side is the mirror image and appears to be uncovered.** Paying below the target's book value in cash with no share issuance is unusual, and screens will report the same event as *both* “cheaper on book” and “more levered.” Bears citing pro-forma leverage systematically miss the equity-side move.
- **Second quarter net new orders were up 15% (2,232 homes) while the stock made new lows.** The volume story is not the problem; price and cost of capital are. That distinction is

not visible in a headline.

- **Almost the entire financing is private.** No public offering, no prospectus, no roadshow. The information gap is genuine rather than a matter of effort — which is also precisely why we are not buying today.

Why it might be priced in

Honestly: a lot of it probably is, and we should say so.

- Twenty-two to twenty-five percent of the float sold short is not an under-followed situation. Someone has done this work.
- “Cheap on book” is the single most common and most punished homebuilder screen in a down cycle. Book value is inventory, and inventory in a falling-price market is a forward-looking number, not a backward-looking one. A 0.93x price-to-book on a builder whose selling price is falling 8.9% may simply be a correct price.
- The Beazer deal was announced publicly with a press release and an investor deck. The revolver, the notes, and the roughly \$675 million of preferred are all disclosed in the August 18 materials. The *structure* is public; only the preferred’s fine print is not — and sophisticated credit investors may well already know the terms.
- Our “accretion” case depends on an accounting outcome (bargain purchase gain versus basis writedown) that we have labeled plausible, not confirmed. If the fair-value marks eat the entire discount to book, there is no book accretion at all.
- Nothing in our work is time-sensitive. There is no event in the next 30 days that forces a repricing in our favor.

What could go wrong

Failure narrative 1 — The unread security turns out to be the whole story (monitorable).

The \$450 million convertible preferred is published with a conversion price struck near today’s depressed level, a payment-in-kind dividend that compounds, structural seniority over the common, and a change-of-control put. At \$14.69 a conversion, \$450 million is roughly 30 million shares — a third of the current share count and nearly the entire tradable float — sitting permanently ahead of us. The “greater flexibility in Fair Market Value” amendment, passed by written consent eleven days before, becomes retroactively legible as preparation rather than housekeeping. *Tripwire: the certificate of designations, filed as an exhibit to an 8-K, S-4, or the next 10-Q. This is the single document the whole position waits on.*

Failure narrative 2 — The bridge becomes the event (monitorable). DFH has a \$900 million, 364-day bridge loan from Bank of America and Goldman Sachs, with no financing condition on the merger. The August 18 materials describe a permanent structure — a \$1.5 billion revolver and roughly \$1.3 billion of senior notes — that would retire it, and Beazer’s \$650 million of notes are assumed rather than refinanced, so the true new-issue need is smaller than the bridge size suggests. But if the high-yield

market for homebuilders shuts inside that year, the takeout gets done at a punitive coupon or, worse, with more equity-linked paper. *Tripwire: an 8-K or prospectus for the notes issue. A completed deal at 7.5% or better substantially retires this concern; a bridge extension or a second preferred tranche confirms it.*

Failure narrative 3 — Value leaves quietly, and there is nothing to watch. NO TRIPWIRE EXISTS. A 63.5% controller, newly domiciled in a state whose law is less hospitable to minority shareholder derivative suits, transacting governance by written consent, now runs a company that rents its most important asset — land — from related parties. The last quarterly filing already discloses related-party land banking through DF Capital Funds II and III (\$14.4 million and \$49.8 million of deposits across 4,908 lots). Kennedy Lewis now scales that same structure to \$800 million while also holding the preferred. If the option fees on that land are set even 200 basis points rich, the transfer shows up nowhere as an event — it capitalizes into the cost of each lot and emerges as gross margin, where every analyst reads it as weak housing demand. There is no filing that fires, no date, no disclosure obligation, no number that moves on a Tuesday. **The unknown-unknown class is: controller discretion under a curtailed-remedy forum, where the loss arrives as an absence.** No litigation, no restatement, no 8-K — just a permanently sub-book return on equity that always has an innocent explanation. We have no sensor for absence, and we should not pretend a “monitor the 10-Q related-party note” line item is one; the note discloses that transactions occurred, never whether their pricing was fair.

The reflexive and structural leg.

- *Our own size is not the risk here.* A minimum starter — 0.25% of the book — against a \$1.34 billion company with a 33.2 million share tradable float is immaterial to the tape. We have **not** verified average daily volume (our market data tool was permission-denied for both analysts), so we state that as an unverified input rather than assuming it away, but no plausible answer makes our size the problem.
- *Predicted flow is the risk.* With roughly a quarter of the float sold short, the resolution we are waiting for — a benign preferred term sheet, or a cheap bridge takeout — is exactly the event that triggers short covering into a small float. **Our reopen conditions are anticorrelated with our reopen price.** The good news that lets us buy is the same news that moves the stock away from the level we would pay. We have been burned before by pairs of conditions that cannot both be true at once, and we should say plainly that this setup has that shape. The practical consequence: if the terms publish clean and the stock gaps, we do not chase — we re-court from scratch at the new price rather than reaching.
- *Doctrine interactions.* Because the governance record is tainted, our own rule caps what we will pay at 85% of estimated fair value and forbids treating this as a fairly-paid risk we can simply carry. Against today’s book of \$15.75, that cap is **\$13.39** — below the current price. Against a post-close book of \$17, it is **\$14.45** — still below the current price. In other words, our own discipline says no at \$14.69 even under our most favorable book estimate. We are not being clever by waiting; the rule already answered.

- *Cash timing.* On September 14 the company redeems \$154.3 million of an existing preferred series — 76% of its \$203 million of cash. We would not want to be establishing a position into a known cash outflow of that size ahead of a deal close.
- *No tax entanglement.* We hold nothing in this name and nothing correlated to it, so there is no wash-sale or tax-lot consideration either way.

If this position loses money, the most likely reason will be that we bought a common stock sitting behind a \$450 million convertible claim whose terms we never read, issued by a company whose 63.5% owner had just moved the corporate home to a friendlier courthouse and repriced his own awards by written consent — and the loss arrived not as an event we could have watched, but as a slow leak through land costs and dilution that always had an innocent explanation.

What we checked ourselves

Both analysts worked from the identical evidence pack. This table includes the places our own work was wrong, because those matter more than the places it was right.

Claim	How checked	Found	Confirmed?
Book value per share is \$15.75; the stock trades below book	Quarterly report balance sheet + XBRL StockholdersEquity at 2026-06-30 (primary)	Shareholders' equity \$1,431,903,000; shares 33,195,068 Class A + 57,726,153 Class B = 90,921,221 → \$15.75. Price/book 0.93x	YES
OUR ERROR #1 — our initial brief said BVPS was really \$14.08 because the \$150M preferred was buried inside equity	Balance sheet mezzanine line	The preferred was already outside equity: mezzanine \$178.0M = \$148.5M preferred + \$29.5M joint-venture minority interest. Our brief subtracted it a second time and overstated price-to-tangible-book by 17%	REFUTED — our own arithmetic error. The screen was right and we “corrected” it into being wrong
Tangible book (ex-goodwill)	XBRL Goodwill = \$377,361,000	\$11.60/share → 1.27x tangible	YES
OUR ERROR #2 — one analyst said the \$1.5B revolver / \$1.3B notes / \$675M preferred figures came from a <i>furnished</i> investor deck and were therefore wrong (“not \$675M, not redeemable”)	The other analyst fetched the August 18 document itself	The venue label was correct (it is furnished, Items 7.01/9.01) but the numbers are verbatim in it : \$1.5B revolver expandable to \$2.0B, ~\$1.3B senior notes (\$600M DFH + \$650M Beazer assumed), ~\$80M junior subordinated, ~\$675M preferred (\$225M refinancing + \$450M at merger) (August 18 8-K)	OVERTURNED. We attacked a correctly-sourced number on a technicality and called it fatal. The August 7 filing is the commitment; August 18 is the structure — sequential, not contradictory
OUR ERROR #3 — the pro-forma leverage “goes to 70%”	Recomputed from the debt note + deal terms	Current: debt \$1,630M vs equity \$1,432M, cash \$203M → 49.9% net debt/net capital, confirmed. Pro-forma ≈ 64–67% counting the preferred as debt, ~ 56% counting it as capital. And we cannot have it both ways — the same analyst relied on the preferred being <i>outside</i> debt to make the equity look	REDUCED. Step-up is real and large; 70% was overstated and internally inconsistent

Claim	How checked	Found	Confirmed?
		cheap, then put it <i>inside</i> debt to make the leverage look bad	
OUR ERROR #4 — “short interest is unverifiable; do not size on it”	Commercial data vendors (StockTitan, MarketBeat, Fintel) — secondary, not a filing	Roughly 6.2–6.4 million shares short, ~22–24.6% of float — <i>higher</i> than our brief’s 15.8%, and readily available. Also: crowding is an input to size and timing, never a reason to reject	GAP CLOSED, and our reasoning inverted the instrument
Consensus is too high	Sell-side revision history vs. reported results	FY26 consensus cut \$1.58 → \$1.36; Q2 actual \$0.27	Direction: YES. Magnitude: NO
OUR ERROR #5 — “run-rate is \$1.08, 21% below consensus”	Multiply Q2 by four	That is an annualization, not a seasonal adjustment, on what is seasonally a <i>strong</i> closings quarter. Neither analyst ran our seasonality tool, which is mandatory on any deceleration claim. The 21% is not a computed number	NOT CONFIRMED — process gap on both sides
OUR ERROR #6 — selection failure	Cross-check of what got adjudicated	Neither analyst ever ruled on the brief’s purchase-accounting inventory step-up — the <i>only</i> non-consensus leg and the one that determines how the October print reads. We litigated the two arithmetic points (easiest) and the uncontested governance point, and skipped the hard one	UNRESOLVED — flagged as the central open question
The deal is book-accretive	Beazer XBRL StockholdersEquity at 2026-06-30 vs. announced consideration	Beazer book \$1,146,990,000; consideration ~\$916M cash; no DFH shares issued. Buying \$1.15B of book for \$916M with no dilution → either a ~\$230M pre-tax gain (~\$2.54/share) or an equivalent lower asset basis, and no new goodwill either way	Facts CONFIRMED; accounting outcome PLAUSIBLE, not confirmed
Texas reincorporation and the consent-approved compensation amendment	Quarterly report MD&A + the August 21 8-K in the evidence pack	Reincorporated Delaware → Texas on 2026-06-09; equity plan amended August 20 with a \$400k Chairman carve-out and “greater flexibility” in the Fair Market Value definition; approved by majority written consent under Texas law, information statement in lieu of a meeting	YES
Is this an “Up-C” structure with hidden share creation?	Equity note in the quarterly report	No. No up-C, no tax receivable agreement. The mezzanine is preferred plus a joint-venture interest, not operating-company units. Dual class sits at the corporate level	NO — clean. Checked deliberately, because a related structure has burned us before
Land is getting more expensive to control	Land option note	Lot deposits \$502M; controlled lots 54,091, down 14%; disclosed risk of loss \$812M; related-party funds hold 4,908 lots. New \$800M facility from the same manager holding the preferred	Facility CONFIRMED; fee rate UNDISCLOSED

Claim	How checked	Found	Confirmed?
Live price	Our broker connection	Permission denied for both analysts. All prices here are from the evidence pack snapshot, \$14.69	COVERAGE GAP — no live quote was obtained
Satellite imagery on the optioned land	Imagery detectors	Not runnable — no paid tier, and we lack parcel coordinates for the 54,091 lots. A parcel-level “developed vs. idle” read would test the \$812M of collateral behind the new land facility. Worth building	UNCHECKABLE today
Detector routing	Detector audit	Four consumer-goods detectors (app review velocity, two beauty detectors, consumer product heat) fired on this name because of a generic “consumer brand” tag. A \$438,000 house is not a velocity-tracked consumer product. These should be unrouted from homebuilders	Routing bug found — fix it

PROPOSED ENTRY BANDS

The courts say no entry today. Below are the reopen conditions, drawn from the analysts’ own arithmetic.

Today’s position: none. No order. No resting bid. At \$14.69, our own governance-taint rule (pay no more than 85% of estimated fair value on a name with a compromised governance record) is violated under *every* fair-value estimate we generated:

Fair value used	85% cap	vs. \$14.69
Today’s book, \$15.75	\$13.39	fails by 10%
Post-close book, low end \$16.00	\$13.60	fails by 8%
Post-close book, midpoint \$17.00	\$14.45	fails by 2%
Post-close book, high end \$18.00	\$15.30	passes by 4% — but rests entirely on an accounting outcome we labeled <i>plausible</i> , not confirmed

Only the most aggressive book estimate clears, and only barely. That is not a margin of safety; that is a rounding error on an unconfirmed assumption.

Reopen band A — the document (primary, no price condition). Re-court immediately, at whatever the price is, when the **certificate of designations for the \$450 million convertible preferred** becomes public — as an exhibit to an 8-K, to the merger registration statement, or to the next quarterly report. What we need: conversion price, whether the dividend can be paid in kind, seniority versus the common and versus the notes, and change-of-control rights. This is a data problem, and data problems are temporary. If the terms are ordinary (conversion meaningfully above spot, cash-pay dividend, no ratchet), the main objection dissolves and this name deserves a fresh hearing.

Reopen band B — the price (if the document stays dark). \$13.39 or below — 85% of the current \$15.75 book value. At that level, our cap is satisfied even if the deal produces no book accretion at all and even if the preferred terms are never published. This is roughly 9% below today's price and 9% above the 52-week low of \$12.26.

Reopen band C — the deep band (both conditions). \$11.60 — one times tangible book. Only actionable with (a) the preferred terms disclosed, and (b) evidence from the Q3 report that gross margin has troughed. Below tangible book on a builder mid-deal is a different, larger conversation and would go back through a full hearing.

Abandon band. Above \$17.00 with the preferred terms still unpublished — close the file. If it re-rates through our best-case book while the central unknown is still unknown, we have been priced out of a security we never got to read, and continuing to watch is sunk-cost behavior. Say so and move on.

Sizing, if and when a band opens. Minimum starter, **0.25% of the book**, day orders only, no good-till-cancelled resting bids (a resting order with no catalyst is an accidental bet against volatility, and this name has four pending events). No second tranche until the preferred terms are read and the merger has closed. The governance taint means this never becomes a core position and never gets carried as a “fairly paid risk.”

Do not chase. No bid above \$14.69. If clean disclosure gaps the stock into the high teens, re-court from scratch rather than reaching — see the reflexive leg above; that gap is the predictable consequence of a quarter of the float being short.

Dates that matter.

Date	What	Confirmed?
2026-09-14	Redemption of the existing Series A preferred — \$154.3 million out, 76% of the company's cash. Do not establish a position into this (8-K , Aug 14)	Yes — filed
2026-10-29	Third-quarter results. First look at post-announcement backlog pricing and gross margin	No — derived from a data vendor; no company release names it. The last company-confirmed reporting date was 2026-07-30
Beazer shareholder vote	Merger approval — date not yet set	No — undated
Merger close / Q4	First purchase-accounting disclosure; the inventory step-up becomes visible	No — undated
~2027-08	364-day bridge matures. Watch for the takeout well before this	No — inferred from the August 2026 commitment date

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 11.6 (deck-provisional: 1.0x tangible book value per share (book \$15.75 less goodwill \$377.4M over 90.92M shares); deep reopen)
- filing watch: 8-K,S-4,424B3,10-Q until 2027-02-19 (deck-provisional: certificate of designations for the \$450M Kennedy Lewis convertible preferred — conversion price, PIK)
- dated pack DFH|2026-09-14: DFH: Redemption of existing Series A preferred — \$154.3M cash out, 76% of the \$203M cash balance; do not establish a position into this outf
- dated pack DFH|2026-10-29: DFH: Q3 2026 results — first post-announcement look at backlog ASP and gross margin; vendor-derived date, no company release names it (date
- dated pack DFH|2027-08-06: DFH: Approximate maturity of the \$900M 364-day bridge loan (inferred from the Aug 2026 commitment); takeout must be complete well before thi

What remains unverified

1. **The \$450 million convertible preferred's terms** — conversion price, payment-in-kind toggle, seniority, change-of-control put. Unpublished. This is the reason there is no position.
 2. **The land facility's option fee rate** and whether those fees capitalize into lot cost. Undisclosed. The mechanism is sound; the magnitude is unknown, and the new \$800 million facility partly *replaces* \$502 million of existing deposits, so the economic delta is a spread, not the gross number.
 3. **The purchase-accounting outcome** — bargain purchase gain versus reduced asset basis. Determines whether book value per share jumps or merely holds. Not knowable until the close.
 4. **The size of the inventory step-up** and how long it depresses reported gross margin. This is the leg our own review skipped, and it is the leg that determines how the October and January prints read.
 5. **Whether \$1.08 per share is the right run-rate.** It is four times a seasonally strong quarter, not a seasonally adjusted figure. The direction is right; the number is not computed.
 6. **Short interest** — roughly 22–24.6% of float per commercial vendors, not per a filing. Directionally useful, not primary.
 7. **Average daily volume, and therefore any real liquidity constraint.** Our market data connection was denied. Almost certainly irrelevant at our size, but unverified is unverified.
 8. **Whether the founder has pledged any Class B shares.** Not checked. In a controlled company down 53%, this is a material question.
 9. **The Beazer shareholder vote date** and the expected close date.
 10. **Whether the \$812 million of disclosed land risk-of-loss is against developed or idle parcels.** Testable with parcel-level satellite imagery; we lack both the paid data tier and the parcel coordinates. Worth building — it would be reusable across the whole builder universe.
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